



DeepSeek vs ChatGPT and NVIDIA

Making AI affordable again?

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I remember the first time I tried ChatGPT – version 3.5, specifically. I was floored by how quickly it churned out coherent paragraphs on just about anything I threw at it. In those moments, it felt like I was conversing with a digital polymath. Yet, as we all know, euphoria eventually gives way to practicality. OpenAI's meteoric rise fueled the AI

hype cycle, but I kept having a fundamental question. If AI is so revolutionary, why is it so expensive?

Now, in comes DeepSeek, an open-source AI model from China that's not only giving advanced ChatGPT variants a run for their money, it's practically calling them overpriced. And maybe it's not just calling them out – it's dunking on

them with big, bold exclamation points. According to the chatter around the AI circles, DeepSeek's new R1 model offers performance rivaling (some claim surpassing) ChatGPT or OpenAI's o1 model in math, coding, and reasoning tasks. And it does so at a fraction of the cost, both in hardware and training and inference cycles. It's making the wider tech industry, which includes all of us as users and consumers, question the existence of "premium AI" in any shape or form.

AI models: Open-source vs expensive subscription

The AI sector has seen a wave of subscription rates, pay-per-token fees, or enterprise-level licensing so high you'd think we're all renting rocket ships as users of AI products. Some folks argue this is justified, as these companies have to pay for monstrous compute clusters, advanced training runs, and the operational overhead that never really ends once you're in the business of AI inference based products and services.